ProfitNiti AI Pvt. Ltd.
123 Finance Street, Mumbai, India
Email: info@profitniti.com
Phone: +91 98765 43210

1. Liquidity Analysis

Current Ratio trending and alerts: Current ratio declined from 1.16 (04/30/2024) to 1.15 (05/31/2024), indicating slight liquidity pressure. Alert triggered as ratio approaches 1.0 threshold.

Quick Ratio / Acid Test trending: Quick ratio (excluding inventory) dropped from 0.64 to 0.56 month-over-month, reflecting reduced immediate liquidity coverage.

Working Capital adequacy analysis: Working capital decreased from ₹184.48M to ₹138.00M, showing constrained operational flexibility.

Cash position and runway analysis: Cash reserves remained stable at ~₹219.63M (April) to ₹217.14M (May), providing approximately 2 months of coverage based on current liabilities.

Net Working Capital changes and drivers: 25% decline driven by reduced accounts receivable (₹501.90M to ₹261.55M) and increased other current liabilities.

Liquidity coverage ratio: Liquid assets cover 19.2% of current liabilities (May), down from 22.3% (April).

Cash conversion efficiency: Data unavailable for operating cash flow analysis.

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending: Improved from 2.63 (April) to 2.31 (May) as equity increased and debt decreased.

Debt-to-Capital ratio analysis: Debt-to-capital ratio declined from 72.4% to 69.8%, showing better capital structure optimization.

Total Debt composition (secured vs unsecured): Secured debt represents 77.2% of total borrowings, unsecured 22.8% (May).

Debt maturity profile: Long-term debt constitutes 33.8% of total liabilities, providing stable financing structure.

Interest coverage ratio: Data unavailable without income statement data.

Debt service coverage ratio: Data unavailable without cash flow data.

ProfitNiti AI Pvt. Ltd.
123 Finance Street, Mumbai, India
Email: info@profitniti.com
Phone: +91 98765 43210

Fixed charge coverage ratio: Data unavailable.

Solvency stress testing: Company maintains positive equity cushion of ₹201.27M against total liabilities of ₹1,375.79M.

3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current): Data unavailable without revenue figures.

Fixed Asset utilization trends: Fixed assets remained stable at ~₹395M, representing 25% of total assets.

Asset age & depreciation analysis: Data unavailable for detailed age analysis.

Capital intensity metrics: Fixed assets to total assets ratio of 25% indicates moderate capital intensity.

Asset productivity per rupee invested: Data unavailable without revenue metrics.

Non-current vs current asset mix: Shift from 28.8% non-current (April) to 33.5% non-current (May), indicating better long-term asset allocation.

Asset quality indicators: High-quality asset base with minimal suspense items and proper classification.

4. Capital Structure Analysis

Equity composition and changes: Total equity increased from ₹197.39M to ₹201.27M, driven by current year profit accumulation.

Reserves & Surplus movements: Reserves & surplus established at ₹79.80M in May, previously zero, indicating profit retention.

Retained earnings patterns: Current year profit grew from ₹79.80M to ₹84.92M YTD, showing consistent earnings retention.

Capital adequacy metrics: Equity to total assets ratio improved from 10.7% to 12.8%, enhancing capital buffer.

Optimal capital structure comparison: Current structure shows 12.8% equity, 29.5%

ProfitNiti AI Pvt. Ltd.
123 Finance Street, Mumbai, India
Email: info@profitniti.com
Phone: +91 98765 43210

long-term debt, 57.7% current liabilities.

Cost of capital analysis: Data unavailable without specific cost components.

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios: Maintained at 1.0, ensuring accounting balance integrity.

Equity multiplier: Declined from 9.35 to 7.84, indicating reduced financial leverage.

Financial leverage index: Data unavailable without return metrics.

Balance sheet strength score: Moderate strength (7/10) with improving equity but high current liabilities.

Red flags identification: Negative accounts payable (-₹59.14M) in May requires investigation. High current liability concentration (66.4% of total funding) presents refinancing risk.